NSW Treasury

Evaluation Guidelines

TPG22-22

1 February 2023

Incorporating revisions as at June 2025

NSW GOVERNMENT

Acknowledgement of Country

We acknowledge that Aboriginal and Torres Strait Islander peoples are the First Peoples and Traditional Custodians of Australia, and the oldest continuing culture in human history.

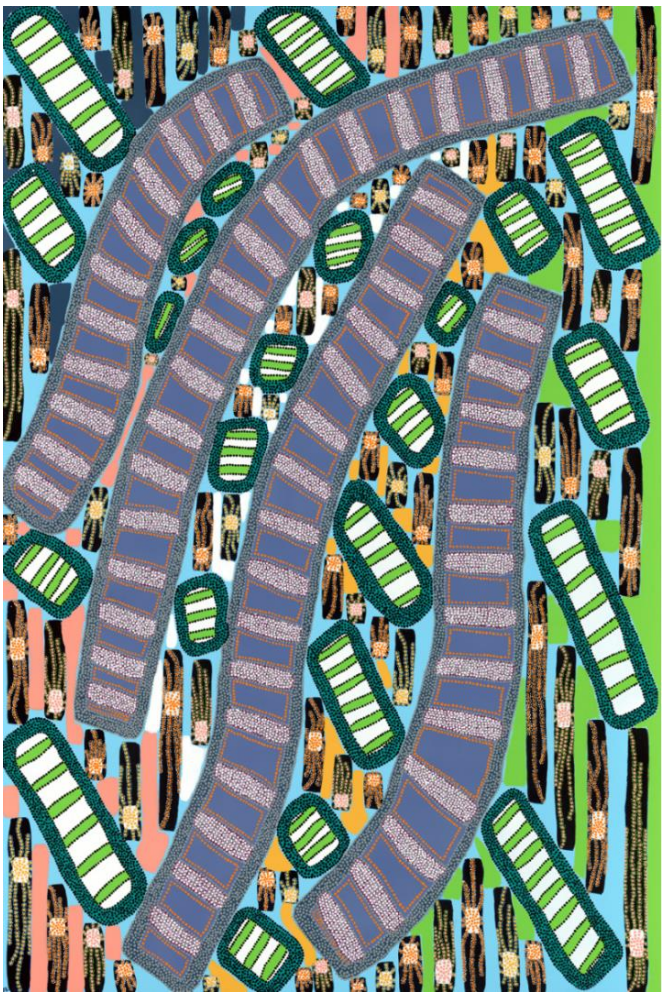
We pay respect to Elders past and present and commit to respecting the lands we walk on, and the communities we walk with.

We celebrate the deep and enduring connection of Aboriginal and Torres Strait Islander peoples to Country and acknowledge their continuing custodianship of the land, seas and sky.

We acknowledge the ongoing stewardship of Aboriginal and Torres Strait Islander peoples, and the important contribution they make to our communities and economies.

We reflect on the continuing impact of government policies and practices, and recognise our responsibility to work together with and for Aboriginal and Torres Strait Islander peoples, families and communities, towards improved economic, social and cultural outcomes.

Artwork:
Regeneration by Josie Rose



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Key information	
Treasury policy and guideline (TPG) is relevant to	☒ GSF agencies ☒ General government sector ☒ Public non-financial corporation ☒ Public financial corporation ☒ State owned corporations ☐ Other
	☒ Executive agencies related to departments
	☐ Subsidiaries of the NSW Government established under the Corporations Act 2001
Date issued	1/02/2023
Review date	1/02/2028
☒ Replaces **☐ Replaced by**	Treasury Circular Program Evaluation (TC18-03) NSW Government Program Evaluation Guidelines 2016
Issuing/publishing entity	NSW Treasury
Related instrument(s)	NSW Government Guide to Cost-Benefit Analysis (TPG23-08) NSW Government Business Case Guidelines (TPG24-29) Benefits Management Guide (TPG24-31) NSW Gateway Policy (TPG 22-12) First Nations Investment Framework (TPG24-28)
Document approver	Michael Coutts-Trotter, Secretary
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Document contains
☒ **MANDATORY POLICY** compliance set out by NSW Treasury.

Document contains
☒ **RECOMMENDED POLICY** reflecting best practice standards.
☒ **GUIDANCE/ADDITIONAL INFORMATION** to provide clarity or explain requirements in detail.

Revision history				
Document version number	**Approval date**	**Author**	**Approver**	**Description**
1	March 2024	Centre for Economic Evidence	Joann Wilkie, Deputy Secretary, Economic Strategy and Productivity Group, NSW Treasury	Minor updates to clarify that evaluations can be conducted independently within government, with appropriate separation from the relevant business unit and governance arrangements in place.
2	April 2025	Centre for Economic Evidence	Michael Gadiel, Executive Director, Centre for Economic Evidence, NSW Treasury	Minor updates to align with new and recently updated frameworks including the Business Case Guidelines and Benefits Management Guide and Performance and Wellbeing Framework. Presentation has been updated to the latest Treasury Policy and Guidelines template.

1 Evaluation Guidelines

Purpose

Evaluation promotes accountability of expenditure and supports efficient and effective resource allocation decisions. It serves the community by building evidence and collecting lessons to guide the design and development of other policies and programs.

These guidelines set out mandatory requirements, recommendations and guidance for NSW general government sector agencies and other government entities to plan for and conduct the evaluation of policies, projects, regulations and programs (referred to as 'initiatives').[1]

These guidelines are part of the NSW Government Investment Framework (Figure 1) that ensures a consistent, evidence-informed approach to assessing projects, programs and policies throughout their lifecycle.

Evaluations of government-resourced initiatives (both ongoing and new) should be prioritised, planned, conducted and reported with reference to the requirements, recommendations and guidance set out in these guidelines.

Overview

A strong understanding of what works to deliver outcomes and benefits supports improved wellbeing, economic prosperity and fiscal sustainability for the people of NSW.

Rigorous and regular assessment of initiatives – including before implementation (ex-ante appraisals) and after implementation (ex-post evaluations) – provides a complete evidence base that can more effectively shape policy and service delivery.

Evaluation (ex-post) is a systematic and transparent process to assess an initiative's appropriateness, effectiveness, efficiency and social benefits. It is a key tool to:

- improve the design and delivery of initiatives
- inform investment decision-making
- support the delivery of the NSW Outcomes established in the Performance and Wellbeing Framework.

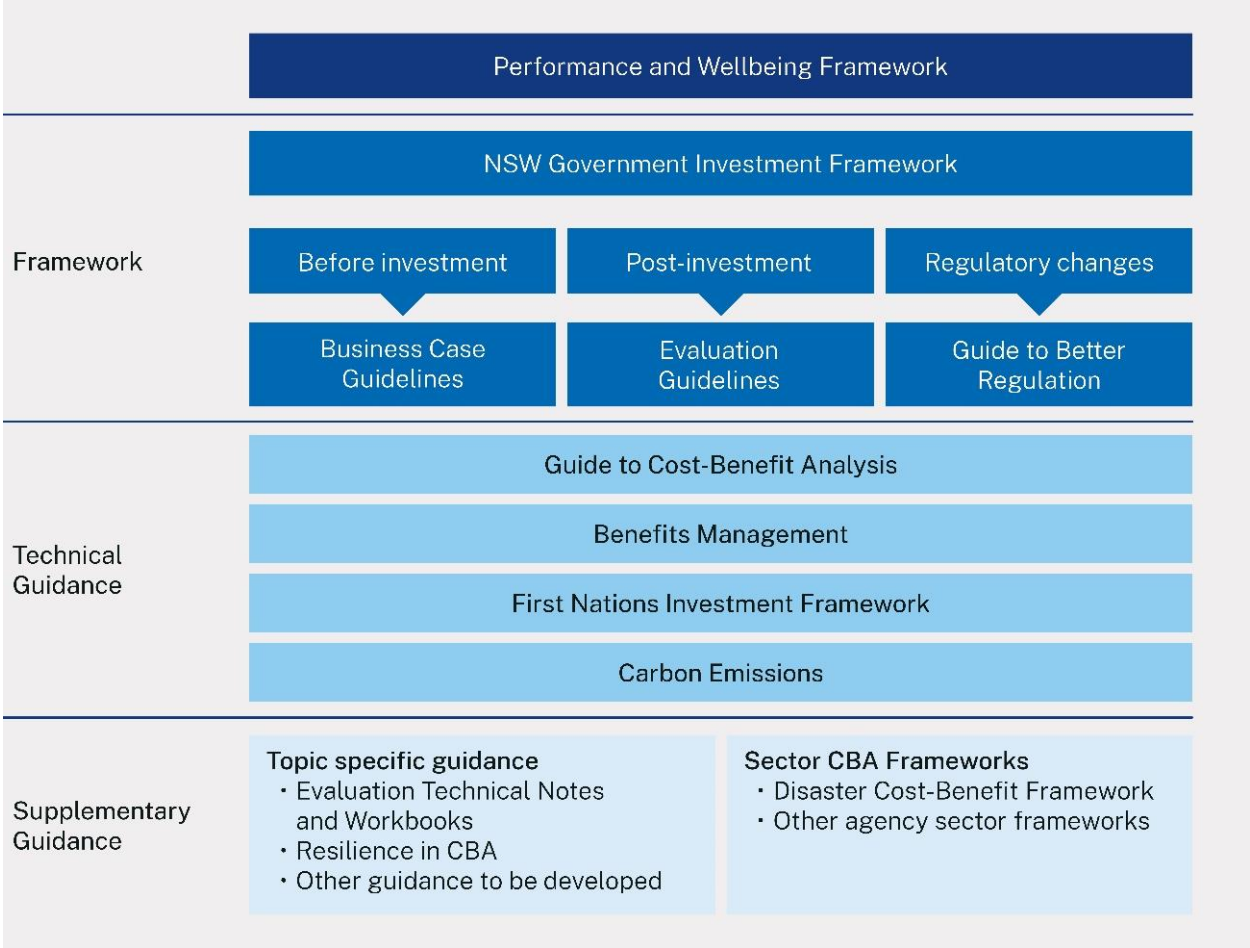
[1] For the purposes of this policy, 'agency' is all general government sector (GSS) agencies (as listed in NSW Budget Paper No. 1). All GSS agencies and non-commercial public non-financial corporations (as listed in NSW Budget Paper No. 1) are considered within the scope of the policy and are required to adopt the core requirements.

Evaluation should be undertaken to verify if initiatives have been implemented as planned and are delivering the intended outcomes and benefits (social, economic, environmental and cultural).

Evaluation can be undertaken during the life of an initiative – to inform management of how the initiative is tracking – or at its end – to provide evidence of how well an initiative has worked. Monitoring during the life of an initiative can support performance reporting and evaluation. Best practice is to plan for monitoring and evaluation at the design stage of an initiative.

All NSW Government agencies are required to regularly examine initiatives to ensure they are achieving intended outcomes and are providing a social benefit to the people of NSW. These guidelines set out mandatory policy requirements (compliance set out by NSW Treasury). They provide best practice recommendations and guidance to support consistent, high-quality and transparent evaluations.

Figure 1. NSW Government Investment Framework



The NSW Government is introducing a Performance and Wellbeing Framework to measure wellbeing and performance against desired outcomes and service delivery. It is intended to be a decision-making support tool that provides a holistic view of the wellbeing of the people of NSW, the performance of NSW Government activities and services, and the allocation of resources by outcome.

The Evaluation Guidelines are supported by a set of resources that provide technical guidance and templates. They are designed to be used flexibly as relevant to the initiative, the context in which it is being evaluated and the resources allocated to the evaluation.

Summary of requirements

Mandatory

1. **Evaluation**
   a. All NSW Government agencies are required to coordinate monitoring and periodic evaluation of their initiatives, both ongoing and new.
   b. Initiatives resourced by the NSW Government must be regularly examined to assess their achievement of intended outcomes and net social benefit to the people of NSW.
2. **Evaluation schedule**
   a. Portfolios are required to prioritise and schedule evaluations in line with the recommendations and guidance within these guidelines, in response to initiative management needs and in discussion with NSW Treasury.
   b. The government may require new or ongoing initiatives to be evaluated, considering factors such as government priorities or commitments, size, risk and external reporting requirements.
   c. Portfolios should prioritise evaluation of new and ongoing initiatives of significant size, government priority and risk.
3. **Evaluation design**
   a. Monitoring and evaluation should be coordinated, as relevant to the initiative and the timing of the evaluation, to examine:
      - implementation
      - appropriateness, including continued relevance to government and community priorities
      - efficiency
      - effectiveness in delivering outcomes

Mandatory

- distribution of outcomes and benefits, and effects on equity (where relevant)
- net social benefit and value for money.

4. **Evaluation for new proposals**
   a. All proposals seeking government resources are required to include evidence to support initiative design and appraisal, and to plan for evaluation.
   b. Evaluation evidence for:
      - **New initiatives:** identify the evidence that has informed the development and appraisal of the submission.
      - **Ongoing initiatives:** identify when the initiative was last evaluated or subject to other review processes (such as audit or assurance), the findings and recommendations, and the agency response.
   c. Evaluation planning
      - Identify when the initiative will next be evaluated, or when evaluation timing will be decided.
      - Include a high-level monitoring and evaluation plan in all submissions seeking NSW Government investment of $10 million and above, tailored to the size, priority and risk of the initiative. This may be under a monitoring and evaluation framework or a benefits management framework.
      - Incorporate resourcing requirements for monitoring and evaluation into the business case funding submission (or set funding aside) or include a plan for when resourcing will be determined and obtained.

5. **Evaluation practice and reporting**
   a. Portfolios, in consultation with NSW Treasury, are required to nominate initiatives for evaluation reporting. Annual reporting to NSW Treasury will include evaluations completed in the previous financial year and evaluations due for completion in the upcoming financial year.
   b. Agencies must proactively and publicly release the findings of evaluations, unless there is an overriding public interest against disclosure of the information (pursuant to the *Government Information (Public Access) Act 2009*).

2 Introduction

Mandatory

a. All NSW Government agencies are required to coordinate monitoring and periodic evaluation of their initiatives, both ongoing and new.

b. Initiatives resourced by the NSW Government must be regularly examined to assess their achievement of intended outcomes and net social benefit to the people of NSW.

2.1 What is evaluation?

Evaluation is a systematic and transparent process that can be used to assess the appropriateness, efficiency, effectiveness and net social benefits of an initiative after it has been implemented. It can be done at different stages of an initiative's life, including when it is underway or when it is completed.

Evaluation should be done with a view towards informing decision-making. Be clear regarding:

- what is to be evaluated and why
- who will receive and use the evaluation findings
- what decisions the evaluation will inform.

2.2 What is a NSW Government initiative?

NSW Government investments are undertaken to deliver outcomes that benefit the people of NSW, improve wellbeing and contribute to NSW Outcomes (the goals that the government is seeking to achieve for its citizens).

A NSW Government initiative may be any capital, recurrent, digital, regulatory or policy action undertaken with the aim to achieve a positive outcome for the NSW community. It can be a program[2], policy, strategy, service, project or any series of related events. Initiatives may be delivered directly by government agencies or by government-funded delivery partners from non-government sectors.

[2]A 'program' is a collection of related projects to address a common problem, or to realise a common opportunity, delivered in a coordinated manner.

Initiatives can vary in size and structure; from a small initiative at a single location, a series of related events delivered over a period, or whole-of-government reforms with many components delivered by different agencies or governments.

The impacts of an initiative will include outcomes and associated benefits (see Figure 2). In general:

- Outcomes can be understood as the extent of changes that follow from an initiative.
- Benefits can be understood as the improvement in welfare related to that change. Benefits are a measure of the value of outcomes to the NSW community. They may be monetary or non-monetary.

Figure 2: Initiative logic model



2.3 Why evaluate?

Findings from evaluations inform evidence-based decision-making and initiative design.

Understand an initiative in practice

Evaluation examines how an initiative works in practice. It can examine:

- if an initiative is implemented as planned
- if it is producing outcomes and benefits as intended
- to what extent, in what situations and why an initiative is working (or not working).

Assess the effectiveness of initiatives in achieving NSW Outcomes

Evaluation can be used to examine and strengthen the relationship between investing in initiatives and achieving government priorities, such as NSW Outcomes.

Support adaptive management and inform decision-making

Evaluation can be used to improve the design and delivery of an initiative. It can provide evidence to support continuing or expanding an effective initiative, ending or changing an ineffective initiative.

Develop an evidence base of what works in NSW

Evaluation will contribute to our evidence base of what works in diverse communities and populations across NSW. As evaluation evidence is accumulated and shared, it will increase accountability and transparency regarding how initiatives work.

Inform future initiative design and forecasting

Evaluation that identifies the effectiveness of an initiative, its actual costs and benefits will provide evidence that can be used to improve the design and appraisal of future initiatives. Evaluation evidence will support longer-term policy design and investment decision-making.

2.4 Evaluation principles

Ten principles underpin effective monitoring and evaluation processes.

Table 1. Monitoring and evaluation principles

Principle	Guidance
1. Be clear regarding initiative purpose.	Commence monitoring and evaluation planning with a clear awareness of the outcomes and benefits the initiative is intended to achieve, and how these align with NSW Outcomes. Use logic models.
2. Plan early for monitoring and evaluation.	Build monitoring and evaluation planning and resourcing into initiative design and implementation. Develop evaluation planning across the ongoing initiatives of a portfolio and budget for evaluation.
3. Design monitoring and evaluation with a view towards informing decision-making.	When planning monitoring and evaluation, be clear regarding what needs to be known about how the initiative works in practice, the expected timing of outcomes and benefits, and what information is needed for decision-making and by when. Allow adequate time for evaluation.

Principle	Guidance
4. Use sound evaluation methods.	Tailor best-practice evaluation methods to suit the initiative's size, significance, risk and the information required for decision-making. Consider what is practical and achievable.
5. Ensure proper governance and oversight.	Establish governance structures and processes to ensure effective partnerships and oversight of monitoring and evaluation design, implementation and reporting. Be clear regarding responsibilities.
6. Build stakeholder involvement in decision-making processes.	Use collaborative and inclusive approaches to work with relevant stakeholders (internal and external to government) to design and conduct monitoring and evaluation. Use evaluation as an opportunity to build relationships with, and learn from, delivery partners, customers and the community.
7. Be ethical in design and conduct.	Incorporate ethical considerations and requirements into monitoring and evaluation design and conduct.
8. Ensure the right mix of expertise and independence.	Coordinate internal and external expertise as needed to ensure objective and robust evaluation. Use experienced evaluators with appropriate levels of independence but always include initiative managers in evaluation planning.
9. Be transparent.	Publicly release key evaluation information and findings. Provide information in formats that meet stakeholder communication needs.
10. Value ongoing learning.	Be open to new learnings. Develop a formal response to consider and integrate evaluation findings. Share lessons learned.

Build a culture of evaluation

Evaluation is most effective when supported by an agency's leaders, adequately resourced, and part of a culture of enquiry and learning within an agency.

3 Evaluation Schedule

Evaluation can be supported by building a culture of evaluation, developing evaluation capabilities, and integrating monitoring and evaluation into agency practices (see Appendix A:).

Mandatory

a) Portfolios are required to prioritise and schedule evaluations in line with the recommendations and guidance within these guidelines, in response to initiative management needs and in discussion with NSW Treasury.

b) The government may require new or ongoing initiatives to be evaluated, considering factors such as government priorities or commitments, size, risk and external reporting requirements.

c) Portfolios should prioritise evaluation of new and ongoing initiatives of significant size, government priority and risk.

Recommendations

Portfolio lead agencies should prepare and manage an internal forward evaluation schedule that strategically prioritises evaluation activity across their portfolio.

- Schedule evaluations to ensure that evidence will be available to inform investment decision-making (including decisions about continuing, expanding, changing or ending an initiative).
- Consider the larger portfolio of initiatives and uniqueness of the investment when selecting initiatives for evaluation.
- Plan for evaluation of **new** initiatives as relevant to the key stages of its implementation and realisation of outcomes and benefits.
- Plan for regular examination of **ongoing** (recurrent) initiatives. Aim to evaluate ongoing initiatives every five years (as practicable), as part of a continuous improvement cycle.
- Consider the role for evaluation, where performance monitoring (including through Performance and Wellbeing Framework processes) indicates:
  - Progress is not on track to meet targets set by the portfolio at the initiative, program or NSW Outcome level.
  - There is uncertainty regarding the alignment and contribution of an initiative to relevant NSW Outcomes.
  - There is opportunity to examine best practice and lessons learned.

- Incorporate evaluation planning into relevant portfolio and agency business planning processes.

3.1 Be strategic about evaluation

Decide what will be evaluated. Prioritise initiatives for evaluation considering existing evidence, previous evaluation activity and initiative:

- size – total cost of the initiative (or relevant group of initiatives)
- strategic priority – role in achieving NSW Outcomes and portfolio objectives
- risk – uniqueness and delivery complexity.

Evaluation is a good practice regardless of the size of an initiative. Evaluation can be undertaken strategically across the activities of a portfolio to inform internal decision-making and to build an evidence-base. For example, you may plan evaluations to:

- assess alignment of an initiative with government or community priorities
- investigate best practice and share learnings
- examine how a group of initiatives with a shared objective is performing
- support decision-making regarding an initiative.

3.2 Coordinate monitoring and evaluation

Evaluation will complement and be supported by other forms of performance monitoring and measurement. Evaluation is most effective when supported by a continuous, systematic process of collecting and analysing information on the initiative's implementation and impacts (outcomes and benefits).

Use monitoring to track the activities and outputs of an initiative and observe its outcomes and benefits. Monitoring processes can be designed to report on performance, inform ongoing improvement and support evaluation.

Evaluation will usually investigate a broader range of information than is feasible to monitor on an ongoing basis. It may involve research to address specific questions regarding the performance of the initiative.

3.3 Align with agency and portfolio processes

Monitoring and evaluation are one component of a suite of processes that support government decision-making and investment. Be aware of other processes and guidelines

relevant to your initiative. Align monitoring and evaluation of an initiative with other business planning and performance reporting processes across the portfolio (Appendix B:).

Under the NSW Gateway Policy (TPG 22-12) assurance framework, a Gate 6 post-implementation assurance process may be applied, with benefits management and evaluation processes subject to independent expert review. Coordinate monitoring and evaluation with NSW Gateway Policy investor assurance timeframes, as relevant to the initiative.

Use either a monitoring and evaluation framework or a benefits management framework in combination with these guidelines to inform the design of monitoring and evaluation. Where an initiative will be subject to Gateway review, you should ensure that monitoring and evaluation planning also meet any additional requirements for the review.

3.4 Tailor evaluation to suit the initiative

An initiative may be nominated for evaluation:

- by the government as part of funding or other agreements
- by a portfolio in agreement with NSW Treasury
- through internal portfolio decision-making process (nominated by the portfolio or an agency within the portfolio).

The design of the evaluation should be appropriate to the initiative. Table 2 and Section 3 provide a guide.

Table 2. Initiative scale and evaluation design characteristics

Scale	Initiative characteristics	Evaluation characteristics
A	• **Size**: high total cost of initiative (or relevant group of initiatives) *or* • **Priority:** priority initiative for NSW Government, for example: — state government priorities — election commitment — across-government initiative (multiple delivery partners) — external reporting requirements (for example, Commonwealth-State funding)	• **Nominated by:** Cabinet, Cabinet committee or portfolio • **Reported to:** Cabinet or Cabinet committee; ministers or senior executives consider and respond to findings • **Scope:** coordinated use of monitoring and evaluation to report on outcomes, net social benefits and value for money • **Governance:** executive oversight; steering committee or advisory

Scale	Initiative characteristics	Evaluation characteristics
	or • **Risk:** high risk, for example: — Tier 1 or 2 under NSW Gateway Policy — delivery complexity (for example, multiple delivery partners) — risk to achieving NSW Outcomes.	group to include key delivery partners and key stakeholders • **Conduct:** to support independent and robust evaluation: — use evaluators or evaluation teams external from the business or delivery unit; ensure evaluation governance supports appropriate levels of independence for technically complex evaluations — consider a peer review of methods and findings by subject experts external to the evaluation team • **Stakeholders:** involve stakeholders impacted by the initiative in confirming and valuing benefits • **Resources:** dedicated evaluation budget
B	• **Size**: moderate to high total cost of initiative (or relevant group of initiatives), for example, above $50 million (over four years for ongoing initiatives) *or* • **Priority:** priority initiative for portfolio (including achieving NSW Outcomes) *or*	• **Nominated by:** portfolio, in discussion with NSW Treasury • **Reported to:** Cabinet committee; senior executives consider and respond to findings • **Scope:** coordinated use of monitoring and evaluation to report on outcomes, net social benefits and value for money • **Governance:** steering committee or advisory group to include key delivery partners and key stakeholders

Scale	Initiative characteristics	Evaluation characteristics
	• **Risk**: moderate to high risk, for example: — Tier 1 or 2 under NSW Gateway Policy — delivery complexity — risk to achieving NSW Outcomes — limited evidence base — innovative or unique activity (such as pilot activity)	• **Conduct:** to support independent and robust evaluation: — use evaluators external to the business or delivery team for aspects of the evaluation where independence needs to be demonstrated — for technically complex evaluations, consider peer review of methods and findings by subject experts independent of the evaluation team. • **Stakeholders:** Engage with relevant internal and external stakeholders. • **Resources:** Dedicated evaluation budget within initiative budget.
C	• **Size**: Low to moderate cost of initiative, for example less than $50 million (over four years for ongoing initiatives) *or* • **Priority:** Opportunity for strategic investigation, for example: — opportunity to respond to changing government or community priorities — opportunity to share learnings or demonstrate best practice — evidence required for upcoming decision-making, including funding *or*	• **Nominated by:** portfolio or agency • **Reported to:** executive leadership; executive or initiative managers consider and respond to findings • **Scope:** coordinated monitoring and evaluation to provide evidence of outcomes and benefits; ensure foundations established for economic analysis. • **Governance:** initiative manager and advisory group • **Conduct:** internal, or mix of internal and external, expertise; consider peer review by evaluators external to the business or delivery team • **Stakeholders:** engage with relevant internal and external stakeholders

Scale	Initiative characteristics	Evaluation characteristics
	• **Risk:** Low to moderate risk, for example: — Tier 3 or 4 under NSW Gateway Policy — Risks to achieving outputs or outcomes.	• **Resources:** funded from within a larger program or portfolio evaluation budget

4 Evaluation design

Mandatory

a) Monitoring and evaluation should be coordinated, as relevant to the initiative and the timing of the evaluation, to examine:
   - implementation
   - appropriateness, including continued relevance to government and community priorities
   - efficiency
   - effectiveness in delivering outcomes
   - distribution of outcomes and benefits, and impacts on equity (where relevant)
   - net social benefit and value for money.

Recommendations

Tailor evaluation to the size, strategic significance and risk of the initiative. Regardless of the size of an initiative, it is good practice to plan for monitoring and evaluation.

Coordinate monitoring and evaluation for:

- initiatives over $10 million to provide evidence of costs, outcomes and benefits
- initiatives over $50 million to provide evidence of outcomes and net social benefits and assess value for money
- all Tier 1 and 2 capital infrastructure initiatives, and a sample of Tier 3 and 4 capital infrastructure initiatives, to provide evidence of outcomes and net social benefits, and assess value for money (tiering is under Gateway investor assurance frameworks)
- all pilot initiatives to report on outcomes and benefits, and to consider value for money.

Different types of evaluation will be relevant at different stages in the initiative lifecycle.

- Use process evaluation, as relevant to initiative management needs, to examine implementation and provide information to improve delivery or to support outcome evaluation. Identify implementation costs to inform economic evaluation.
- Use robust outcome evaluation designs to provide evidence of the causal links between the initiative and outcomes, and to support evaluation of effectiveness. Use evidence of outcomes and benefits to inform economic evaluation.

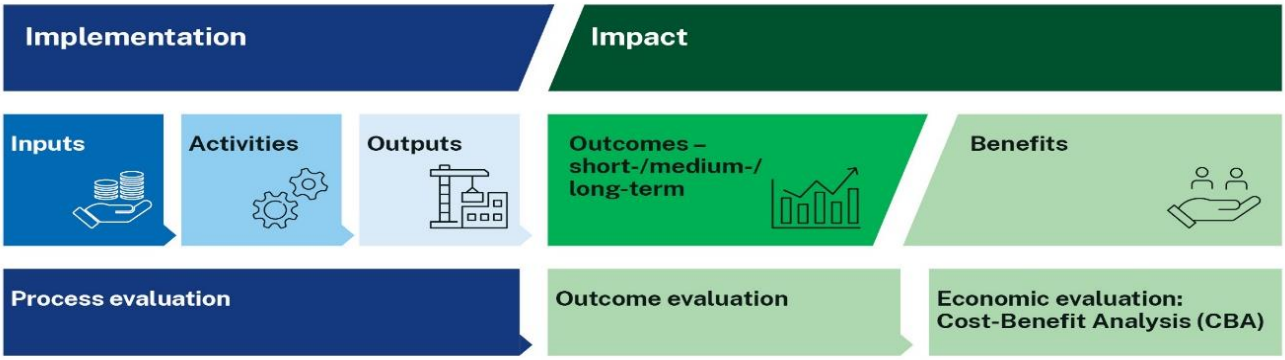
- Use economic evaluation to identify and report the key economic, social environmental and cultural impacts of an initiative (costs and benefits) on social welfare. Use cost-benefit analysis (CBA) to assess the net social benefits and value for money of an initiative. Use supplementary methods to assess value for money where it is not feasible to quantify and monetise benefits.

4.1 Types of evaluation

The most comprehensive and effective plan for evaluation of an initiative will include elements of process, outcome and economic evaluation over its life. Economic evaluation can complement different stages of evaluation.

Examination of distribution and effects on equity (including achievement of equity goals where an initiative has been undertaken to promote equity) can also complement different types of evaluation, where relevant.

Figure 3: Types of evaluation relevant at different stages of initiative implementation



4.2 Process evaluation

Process evaluation examines initiative implementation and delivery. It focuses on the inputs, activities and outputs of an initiative. It can be designed to:

- examine the contexts in which the initiative is operating
- identify who the initiative is reaching and their experiences
- identify issues with delivery
- review appropriateness to needs, community and conditions
- assess efficiency
- provide information for process improvements.

Process evaluation can include questions about distribution and equity of access to the outputs of an initiative.

Process evaluation can be undertaken early to check if an initiative is being implemented as intended, or to support outcome evaluation by helping distinguish implementation issues from design issues.

4.3 Outcome evaluation

Outcome evaluation examines if and how an initiative is leading to intended changes. It measures the extent of change and the degree to which the initiative has contributed to the observed changes. It can also be designed to capture unintended outcomes. Outcome evaluation can include questions about distribution and equity of outcomes.

There is a range of outcome evaluation research designs that can be used, from experimental to quasi-experimental to non-experimental designs.

The strongest methods for examining causal attribution will use a control group (as in randomised experimental design) or a comparison group (as in quasi-experimental design). It will compare change with and without the initiative, and support conclusions about the extent to which a change is caused by the initiative.

Outcome evaluation can be undertaken when the initiative is expected to achieve outcomes (across a sufficient sample size). It will provide an important foundation for economic evaluation, including cost-benefit analysis (CBA).

4.4 Economic evaluation

Economic evaluation identifies and measures the impacts of an initiative relative to its costs, to provide an assessment of value for money or net social benefit. It will build on evidence collected from process and outcome evaluations, and from initiative monitoring (including under benefits management).

Cost-benefit analysis (CBA)

CBA is a comprehensive examination of an initiative's incremental impacts on welfare (including economic, social, environmental or cultural impacts) and assessment of whether the investment delivered a net social benefit to the people of NSW.

CBA is NSW Treasury's preferred method for economic evaluation (ex-ante and ex-post) as it allows for the objective comparison of net social benefits across different initiatives and portfolios. It is recommended for large, complex or risky initiatives. CBA should include analysis of distribution and equity of costs and benefits.

CBA of an implemented initiative can be undertaken when an initiative is due to realise benefits or at its completion. These are both known as ex-post CBAs. If an ex-ante CBA was undertaken (that is, when designing the initiative and business case), ex-post CBA can be used to test the accuracy of cost and benefit forecasts presented in the business case. Where relevant, it can inform a business case variation report and a lessons learned report.

The NSW Government Guide to CBA (TPG23-08) and Ex-post CBA Technical Note provide further guidance.

Cost-effectiveness analysis (CEA)

CEA – including cost-utility analysis – compares costs against a single unit of an outcome. It is a secondary option to assess value for money where it is not feasible to quantify or monetise benefits.

Methods to assess value for money can be considered when needed to complement evaluation at different stages of the initiative life. CEA or examining costs against outputs can complement process evaluation. Cost-consequence analysis can complement an outcome evaluation and provide an important foundation for CBA.

4.5 Evaluation plan

An evaluation plan may include different types of evaluation to be undertaken at one point in time or different evaluations scheduled over time. This may vary according to the implementation and impact stages of the initiative, and the need for evaluation findings to inform decision-making (see Figure 3).

Evaluation questions should be tailored to the initiative and the information needed for decision-making.

Appendix C: includes more detail on the types of evaluation and example questions related to the different types of evaluation (these lists are not prescriptive or exhaustive).

5 Evaluation for new proposals

Mandatory

a) All proposals seeking government resources are required to include details on prior evaluation and to plan for future evaluation.
   - Evaluation evidence:
     - For new initiatives, identify the evidence that has informed the development and appraisal of the submission.
     - For ongoing initiatives, identify when the initiative was last evaluated or subject to other review processes (for example, audit and assurance), findings, recommendations and the agency response.
   - Evaluation planning:
     - Include a high-level monitoring and evaluation plan in all submissions seeking NSW Government investment of $10 million and above (this may be under a monitoring and evaluation framework or under a benefits management framework) tailored to the size, priority and risk of the initiative.

Recommendations

Complete a high-level monitoring and evaluation plan as part of a business case. The plan should be further developed after investment decision.

Where a monitoring and evaluation framework is applied, it should include:

- a logic model that identifies intended activities, deliverables and key impacts (for example, inputs, outputs, outcomes and benefits)
- a forward evaluation plan that:
  - identifies the evaluation types and timeframes
  - scopes the evaluation purpose, key questions, design and methods
- a monitoring and data collection plan (or plan to develop a monitoring and data collection framework) to track:
  - implementation (inputs, activities and outputs)
  - impacts (outcomes and benefits)
  - information relevant to assumptions and risks, or
  - reference to where this information will be captured

The level of resources required for evaluation should be determined based on the risk, size and uniqueness of the initiative.

5.1 Prepare for evaluation

At the business case stage, forward planning for monitoring and evaluation may be high level. You can develop more detailed monitoring and evaluation plans after investment decision.

Either a monitoring and evaluation framework or benefits management framework may be used to support monitoring under these guidelines. See Business Case Guidelines (TPG24-29) for more information on the suitability of each framework.

For further guidance on what to include in a high-level monitoring and evaluation plan at the business case stage, see the Business Case Guidelines (TPG24-29) and associated templates.

You can use the logic model for the initiative as a foundation to consider what will be evaluated, as well as when and how it will be evaluated (see **Error! Reference source not found.** for an example of types and timing of evaluation over the life of an initiative.

Design the monitoring and evaluation framework in consultation with the evaluators within your portfolio or other experts. Involve relevant stakeholders.

Why plan early for monitoring and evaluation?

Monitoring and evaluation will be most effective when considered at the design stage of an initiative and incorporated into implementation planning.

Early planning for monitoring and evaluation can enhance the design of an initiative by asking questions about intended outputs, outcomes and benefits, and how these will be measured (including ensuring that required data is collected).

Early planning can also increase the range of evaluation methods that can be used and support the use of more robust designs. For example, experimental and quasi-experimental evaluation designs require early planning and the collection of baseline data. Where modelling is used for ex-ante CBA appraisal of an initiative, consider how the model could be designed to allow it to be updated for use in ex-post CBA.

Early planning will provide opportunity to include monitoring and evaluation in relevant processes such as communications planning, stakeholder engagement planning and risk management for the initiative.

When a monitoring and evaluation framework is established during initiative design, resourcing requirements can be included in the business case funding submission.

The evaluation approach, and the time and funding required for evaluation, should be appropriate to the size, risk and uniqueness of the initiative. It is best practice to estimate

the resources required based on planned monitoring and evaluation activities, with reference to costs of comparable evaluations where available.

Where the costing is not based on identified activities, sufficient funds should be allocated to monitoring and evaluation based on the scale of the initiative. It may be appropriate to allocate between 1% to 2% of the initiative budget for monitoring and evaluation. Larger initiatives (for example, valued over $100 million) may require a lower percentage (for example, less than 0.5%). Small initiatives or pilot initiatives may require a higher percentage.

6 Evaluation practice and reporting

Mandatory

a) Portfolios, in consultation with NSW Treasury, are required to nominate initiatives for evaluation reporting. Annual reporting to NSW Treasury will include evaluations completed in the previous financial year, and evaluations due for completion in the upcoming financial year.

b) Agencies must proactively and publicly release the findings of evaluations, unless there is an overriding public interest against disclosure of the information (pursuant to the *Government Information (Public Access) Act 2009*).

Recommendations

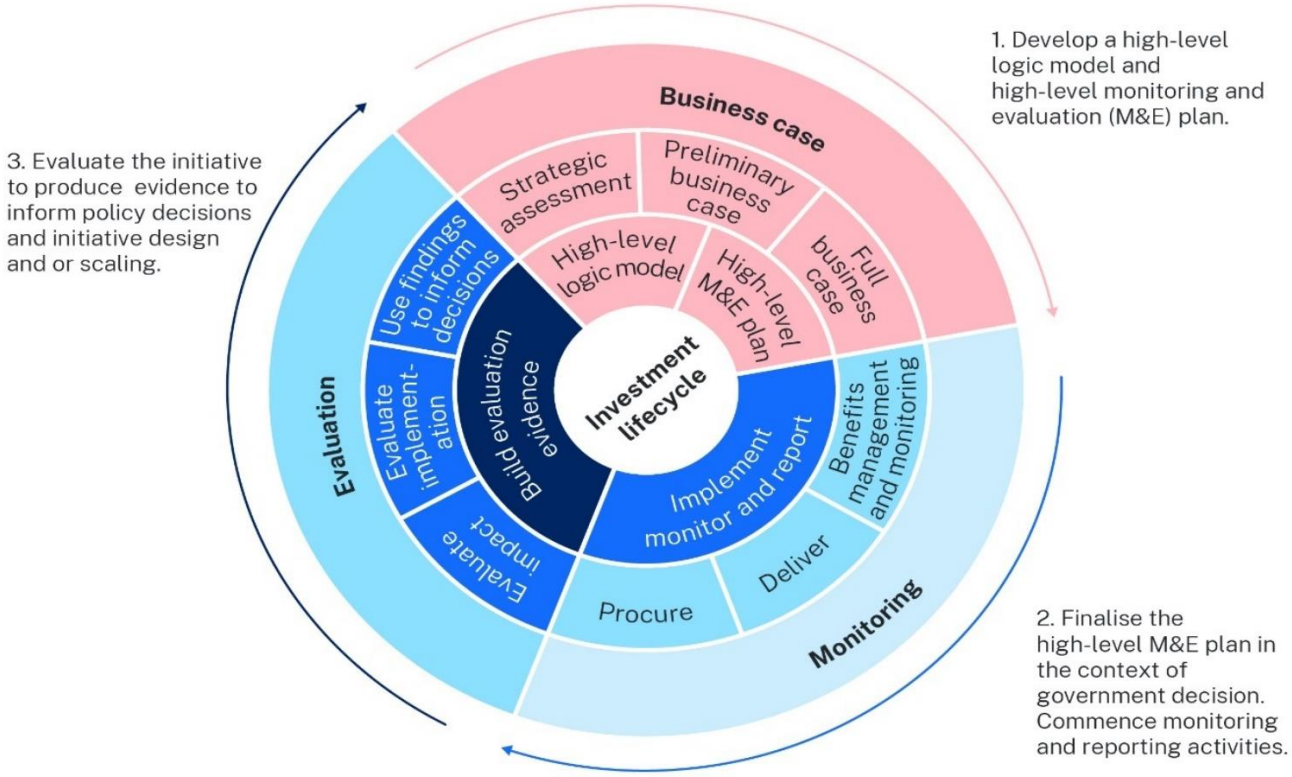
Evaluations, including those reported to Cabinet or Cabinet committees, should include:

- a logic model
- clear evaluation purpose and key evaluation questions
- a robust design and methods
- clear presentation and assessment of results
- a statement on how results will inform future decisions.

Reporting of CBA results should follow requirements in the CBA Guide (TPG23-08) and guidance in the Ex-post CBA Technical Note.

Be clear on how monitoring and evaluation planning, practice and reporting will fit with the investment life-cycle of the initiative (from initiative conception and design, through to completion). This also includes how monitoring information and evaluation evidence will be used to inform decision-making at different stages of the initiative (see Figure 4. Monitoring and evaluation across the investment lifecycle).

Figure 4. Monitoring and evaluation across the investment lifecycle



6.1 Foundations for evaluation

Key points

Monitoring and evaluation should be built on clear understanding of:

- the reason for the initiative
- how the initiative is intended to lead to change.

Use a logic model to clearly set out how the initiative is intended to lead to change.

Monitoring and evaluation will be supported by clear documentation of:

- the **reason for the initiative**, including:
  - reason for government intervention
  - objective of the initiative
  - context in which the initiative operates (including links to other initiatives)
  - counterfactual scenario (that is, what would happen without the initiative)

- a **theory of change** – a summary narrative (based on evidence, logic or theory) that describes how and why the initiative will achieve intended outcomes and benefits
- a **logic model** – a diagram that illustrates how an initiative is intended to work, by setting out inputs, activities and outputs, and linking these with outcomes and benefits.

It is also important to identify the assumptions regarding causal links (for example, how outputs are intended to lead to outcomes, and how outcomes will produce benefits), other activities that support achieving links and any risks to these links.

Before commencing an evaluation, revisit the reason for the initiative, theory of change and logic model presented in the business case and other supporting materials (including benefits realisation planning). Identify where these may need to be updated to fit new contexts or the initiative as implemented.

Logic models

Use the logic model to set out the expected timing of an initiative's implementation and impacts. The model can also provide a foundation for scoping evaluation questions and prioritising what should be monitored.

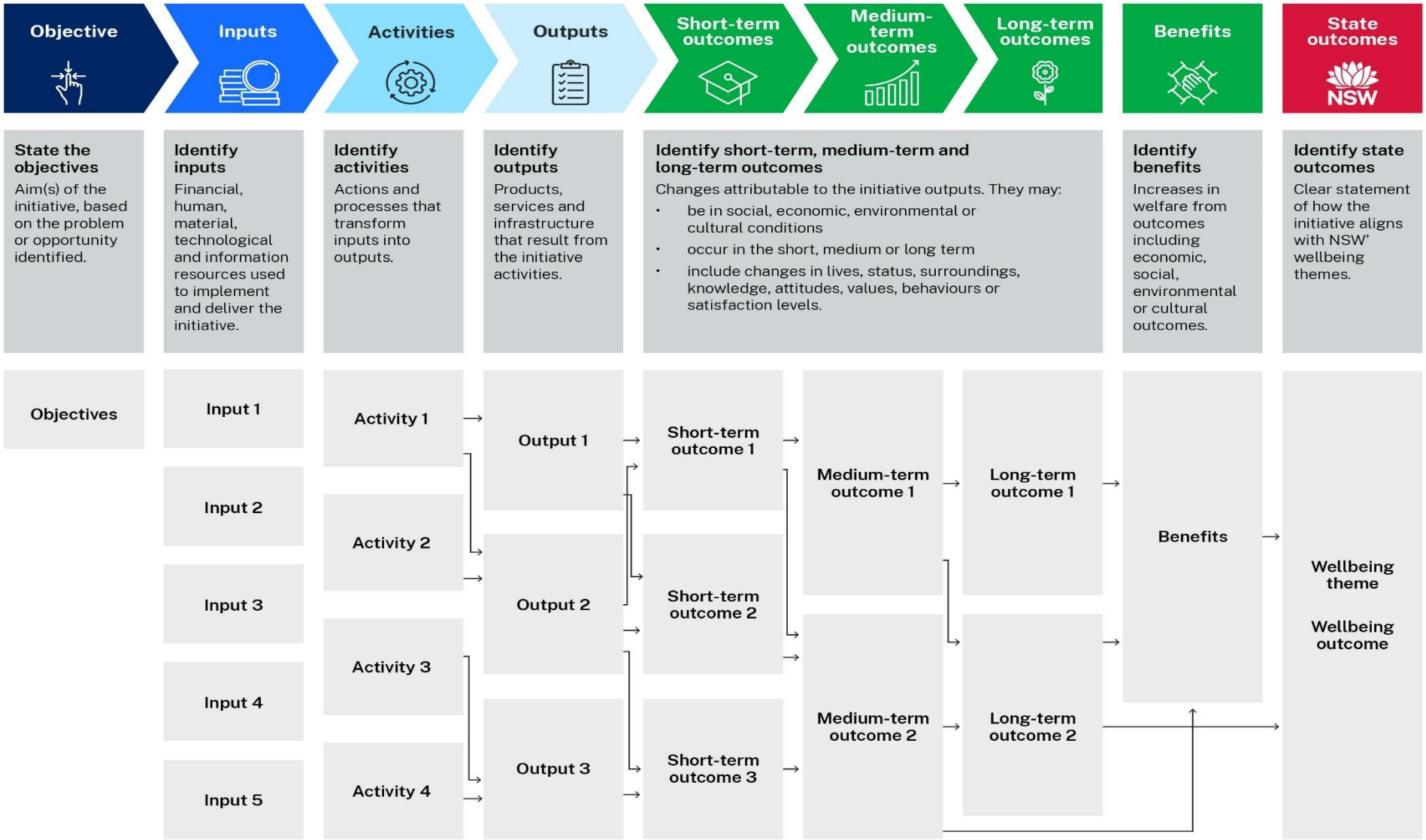
Where an ongoing initiative does not have a current logic model, develop this as a first step in an evaluation. It is good practice for all initiatives to have current logic models, as well as monitoring and evaluation frameworks. The process of developing a logic model can be used to build a shared understanding of the initiative.

The detail and structure of a logic model will vary, depending on initiative size and complexity (Figure 5 presents an example logic model). A simple logic model may include inputs, outputs and outcomes. A more detailed model can identify benefits (the improvements in social welfare) that are expected to follow from outcomes.

The logic model should identify how the initiative aligns with NSW Outcomes or other broader objectives.

Large or complex initiatives may have an overarching objective and include a number of inter-related sub-initiatives with individual objectives. An overarching summary logic model can be developed for the larger initiative, with detailed logic models for individual sub-initiatives (see Workbook VIII. Complex initiatives).

Figure 5: Example logic model



6.2 Monitoring and evaluation framework

Key points

A monitoring and evaluation framework plans for collecting data and for evaluation over the life of an initiative. Use the framework to:

- Scope evaluation purpose, key questions, design and methods.
- Plan for evaluation at key stages and decision points.
- Guide data collection for monitoring, performance reporting and evaluation.
- Align initiative monitoring and evaluation with broader portfolio processes.
- Establish how monitoring and evaluation will be used to inform decision-making over the initiative's lifecycle.

Plan for monitoring and evaluation

A monitoring and evaluation framework will plan for and guide monitoring, evaluation, reporting and improvement over the life of an initiative.

When planning monitoring and evaluation, be clear regarding what information will be required by who and by when. Ensure that the monitoring and evaluation framework meets the information needs of initiative managers and stakeholders.

Be clear on how monitoring and evaluation will fit with the investment lifecycle of the initiative (from initiative conception and design through to completion). This includes how monitoring information and evaluation evidence will be used to inform decision-making at different stages of the initiative.

Monitoring is a means to track and report on performance, support ongoing improvement and inform evaluation. Forward planning for monitoring can:

- provide a focus on performance and outcomes
- build feedback processes that support adaptive management
- anticipate the data required for evaluation, including ensuring baseline data are collected.

Evaluation can be scheduled to investigate if the initiative is being implemented as intended, and if it is achieving expected outcomes and benefits. Forward evaluation planning should:

- scope key evaluation questions, design and methods
- plan for evaluation considering the lifecycle of the initiative and the information required for decision-making
- identify 'owners' responsible for evaluation.

Ensure that monitoring and evaluation – including different types of evaluation – are coordinated over the life of the initiative. For example, consider where process evaluation should identify the monetary and non-monetary implementation costs of an initiative to inform economic evaluation.

Outcome evaluation provides an important foundation for CBA. Consider how the outcome evaluation could be designed to provide evidence of outcomes and benefits that will support an economic evaluation.

Consider also how monitoring and evaluation of the initiative will align with broader program or portfolio-level monitoring and evaluation frameworks.

Use the logic model

Use the logic model as the foundation for the monitoring and evaluation framework. To support planning for evaluation:

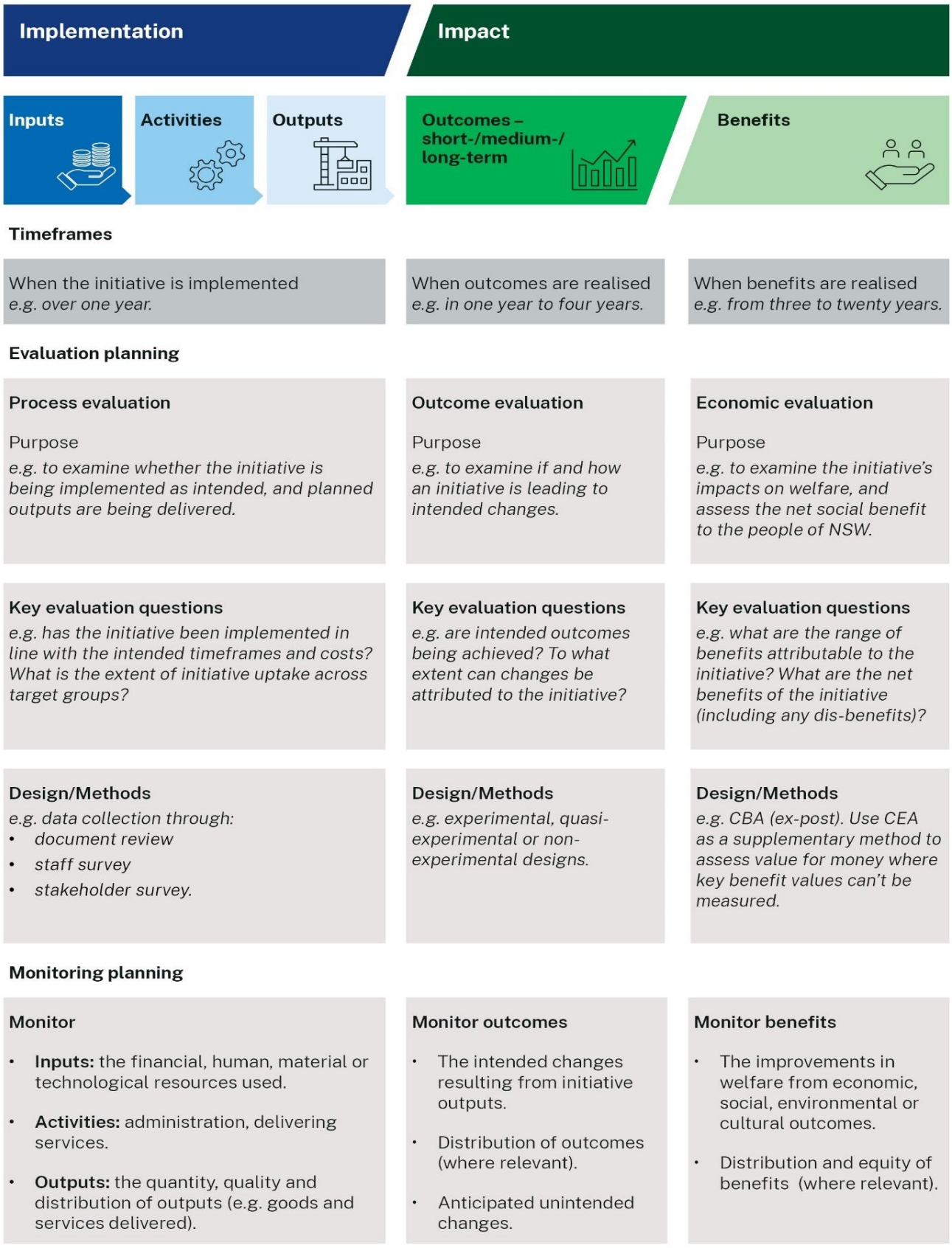
- Identify the intended timeframes for initiative implementation and for realising outcomes and benefits. Consider when these can be evaluated.
- Determine the purpose of evaluation at different stages of the initiative's life. Scope the key evaluation questions to be addressed at these stages and choose evaluation methods that will address these questions (see Figure 6).
- Consider:
  - key activities, outputs, outcomes and benefits that should be tracked
  - what other information should be monitored to address key evaluation questions.

Include a high-level monitoring and evaluation plan in the business case

The business case templates[3] include a high-level monitoring and evaluation plan table for new proposals, tailored to the value and priority of the initiative.

[3] Not included in go/no-go business case template.

Figure 6: Monitoring and evaluation planning



6.3 Evaluation plan: design the evaluation

Key points

Evaluations should provide robust evidence to inform decision-making. When designing the evaluation:

- Understand the context of the evaluation.
- Design your evaluation in response to a clear evaluation purpose and key questions.
- Ensure evaluations are as rigorous as possible, aim to produce valid and reliable findings and reach sound conclusions.
- Ensure that the selected methods can be applied within the available time and resources.
- Plan to present and assess evaluation results and conclusions.
- Involve the right people – consider who else may bring value to the evaluation design and implementation.

Establish context for the evaluation

Evaluation should commence with a clear understanding of:

- why evaluation is being undertaken (at this point in time)
- what evaluation has already been undertaken
- what wider evidence is available on the performance of this or similar initiatives
- who will receive and use the evaluation findings.

Design the evaluation

Evaluation purpose

Each evaluation should be undertaken with a view to informing decision-making. You should reference the logic model to consider what aspects of the initiative the evaluation will examine, and where the evaluation will inform decision-making regarding the initiative.

Define the evaluation purpose in terms of what evidence is needed and what decisions it is likely to inform. The purpose of the evaluation will be aligned to – but distinct from – the initiative objectives. Ask questions such as:

- Why does the evaluation matter?
- Who will the findings be important to and why?
- When are the findings needed?
- How will the findings be used?

Evaluation questions

Evaluation questions should be designed to address the evaluation purpose and provide information that will meet the needs of decision-makers and stakeholders.

Focus the evaluation on three to seven higher-order evaluation questions. This helps to ensure that the evaluation is focused on key concerns and that the scope is manageable. In refining evaluation questions, consider:

- the initial questions in the monitoring and evaluation framework
- the current information needs of decision-makers and managers
- the data collected from monitoring and any trends, issues or gaps for further examination
- who is impacted by the initiative and current stakeholder concerns.

The evaluation may also need to address additional questions according to government priorities or partnership agreements.

Evaluation design and methods

All evaluations should aim to be rigorous, produce valid and reliable findings, and reach sound conclusions. The evaluation design will determine:

- methods to be used
- data collection that will be required
- strength of conclusions that can be made regarding the attribution of the initiative to outcomes and benefits.

Different types of evaluation will use different evaluation designs and methods. For example, an outcome evaluation using an experimental design may be supported by case-study research. It is likely that it will need more than one method, with evidence from different data sources, to answer the evaluation questions. The evaluation technical notes include more detailed technical information on different evaluation designs and methods.

The evaluation should be fit for purpose. Its design should be tailored to the scale of the initiative and the significance of the evaluation. It should use methods that will provide credible and comprehensive evidence, while ensuring that the selected methods can be applied within required timeframes and allocated resources.

Where required data is unavailable and there is no suitable substitute, work closely with evaluation experts to determine to what extent evaluation will be feasible. In such cases, use the evaluation to inform recommendations for a forward data collection strategy.

Reflect on evaluation design, methods and evidence

The evaluation design and the methods used to gather evidence will determine the validity of evaluation conclusions.

At key stages of the evaluation, and as a final assessment process undertaken as part of the evaluation, consider:

- strengths of the evaluation design and method, as implemented
- robustness of evidence gathered
- validity of evaluation conclusions.

This assessment should be included in the evaluation report.

6.4 Evaluation plan: manage the evaluation

Key points

Develop a project plan as you design the evaluation. The plan should:

- Ensure that the right people are involved in designing and planning the evaluation (including community stakeholders), establishing clear roles and responsibilities.
- Consider cultural appropriateness of data collection and evaluation and activities.
- Uphold ethical conduct requirements.
- Include partnering and collaborating with First Nations people and communities in evaluating initiatives delivered to or that impact upon them.

The project plan can be designed to draw upon a mix of internal and external expertise (see Section 6.5).

Establish a project plan

Evaluation project management planning should be undertaken at the same time as designing the evaluation. Include the activities required for evaluation design, delivery, analysis and reporting. Plan for governance, stakeholder consultations and collaboration, ethics requirements, peer review and procurement as needed. Establish an owner for the plan.

The project plan will set the timetable for the evaluation activities, with clear milestones and deliverables. Identify when findings are needed to inform decision-making. Allow adequate time for collaborative processes, approval or authorisation processes, and data collection. Consult with data custodians early to ensure data will be available and fit for purpose. Build flexibility into the evaluation timetable to allow for unforeseen events or adjustment of methods.

The project plan should also identify key risks that the evaluation may face and establish strategies for ongoing risk monitoring and management. Examples of key risks include stakeholder engagement, commissioning, access to data, ethical conduct and timelines.

Involve the right people

The evaluation manager should ensure that the right people are included in the evaluation design and conduct. Identify key stakeholders who will hold an interest in the evaluation. An evaluation's relevance and recommendations will be stronger when designed with:

- people who are involved with initiative delivery
- people who are the target of the initiative or experience its (positive or negative) impacts.

Evaluation governance

Ensure stakeholders are involved in evaluation governance. Always involve the initiative manager and delivery partners in evaluation design and management planning.

For a large or complex evaluation, governance can include a steering committee to provide direction or contribute to decision-making at key stages of the evaluation.

Stakeholder collaboration

Identify when and how stakeholders will collaborate in evaluation processes. For example, developing evaluation questions, designing the evaluation, valuing benefits and testing the practicality of recommendations.

Stakeholder representatives can participate in advisory groups or be more directly involved through inclusive processes. Allow adequate time for meaningful collaboration. Be transparent about the scope of the evaluation and what it can achieve.

Project teams

Establish clear roles and responsibilities within project teams. Be clear regarding how decision-making processes work.

Meet relevant standards

Ensure that processes for working with people and communities meet relevant standards related to cultural appropriateness and ethical conduct.

Cultural appropriateness in evaluation

Evaluation activities should recognise, respect and be responsive to the culture and values of participants, communities and the cultural setting in which the initiative operates.

Cultural appropriateness in an evaluation involves recognising and acknowledging differences in knowledge, language, norms, beliefs, practices, family and community structure and dynamics, and priorities.

Consider cultural appropriateness at the inception of an initiative and in all evaluation activities – including evaluation planning, design, management, data collection (including consultations), analysis and reporting findings. Use up-to-date guides and standards from within the portfolio or representative organisations.

Ethical conduct in evaluation

Ethical conduct should be a key consideration in all monitoring and evaluation processes. Identify what ethical issues need to be addressed and where ethics clearance will be required. Where formal ethical review is not required, ethical practices should still be followed.

All activities (such as data collection, consultation and reporting) need to protect the privacy, dignity and confidentiality of participants and consider any culturally sensitive information.

Where there is a potential risk of harm to people participating in the evaluation – as informants or as evaluators – ethics review and approval are required, and evaluations should be overseen by a human research ethics committee (HREC). Types of harm can range from loss of privacy or benefits to participants, damage to vulnerable groups, or physical, social or mental harm. Allocate adequate resources and time for ethical conduct approval processes.

Several organisations have developed ethical guidelines and standards to support researchers and evaluators, including the National Health and Medical Research Council (NHMRC) and Australian Evaluation Society (AES). Refer to the ethics policies or guidelines of your portfolio.

Partner with First Nations people and communities

Put First Nations people and communities at the centre of the evaluation of initiatives that impact them.

Work collaboratively with community representatives in alignment with community aspirations and preferences throughout the evaluation process – including in identifying and setting priorities, co-design, governance, delivery, data management and critical self-reflection on processes and findings.

Allow adequate time for genuine and respectful communication and collaboration, and capacity building to support robust and culturally informed evaluations.

Follow guidance relevant to First Nations people and communities

The First Nations Investment Framework (TPG24-28) provides guidance on good practice when working with First Nations people and communities on the design, appraisal and evaluation of initiatives.

The framework supports informed design, prioritisation and funding of initiatives and are relevant to both First Nations-specific initiatives and general initiatives that impact on First Nations people and communities. The framework covers guidance from initial business case development through to post-implementation evaluation.

See also:

- NSW OCHRE Plan (2013)
- Commonwealth Productivity Commission (2020) Indigenous Evaluation Strategy
- Australian Evaluation Society (2021) First Nations Cultural Safety Framework.

Evaluators should adhere to a number of ethical principles identified by peak research bodies in Australia, including:

- Code of Ethics for Aboriginal and Torres Strait Islander Research, Australian Institute of Aboriginal and Torres Strait Islander Studies (AIATSIS)
- Ethical conduct in research with Aboriginal and Torres Strait Islander Peoples and communities, National Health and Medical Research Council (NHMRC).

6.5 Evaluation plan: use the right expertise

Key points

The evaluation can be designed to draw upon a mix of internal and external expertise.

- External evaluators – including those within government but external to the business unit – can be used for any stage of the evaluation project plan.
- When engaging external expertise, provide a clear evaluation brief to ensure the evaluation is effectively designed and aligns with expectations, and information is smoothly transitioned from the business unit.

Independent evaluators

Evaluators external to the business area and delivery teams can be engaged to deliver the evaluation or aspects of the evaluation. This may be:

- an evaluation unit or other teams with evaluation expertise within the portfolio
- other evaluation teams within government
- external consultancy teams
- academic teams.

Independent evaluators can be brought in at any appropriate point in the evaluation process. For example, to assist with refining the initiative logic model, designing monitoring and data collection, planning the evaluation, designing evaluation questions, selecting evaluation methods, identifying risks, managing data collection, or coordinating evaluation across larger scale or complex initiatives.

Evaluation teams within government should be used where there is sufficient capability and capacity, and an appropriate level of independence from the business unit and delivery team.

Well managed partnerships can bring flexibility to the evaluation, provide an independent perspective, assist in meeting a significant workload or tight deadlines and build evaluation knowledge within the agency.

The allocation of roles can vary. Consider:

- required technical skills or subject matter expertise
- credibility of the evaluator in the eyes of the intended audience
- need to establish the independence and objectivity of the evaluation
- time and resources available to support evaluation.

Cultural expertise

Cultural expertise may be required to ensure culturally appropriate design and implementation.

Where an initiative that affects First Nations people and communities is being evaluated, identify opportunities for First Nations businesses to design and conduct the evaluation, or for First Nations evaluators to contribute at key points (see Section 6.4). See the NSW First Nations Investment Framework (TPG24-28) for further guidance.

Where specialist expertise is required, ensure it is brought in early enough to contribute to decision-making on evaluation design, planning and other key components of the evaluation. For example, where an experimental design is to be used, early planning will be required to establish comparison or control groups, collect baseline data and establish data linkages, as required.

The engagement can be designed to support learnings within the agency. This might include, for example, debriefing by the evaluator about the evaluation process at key points or involving initiative staff in key data collection activities (such as fieldwork). An internal evaluation coordinator can be used to facilitate staff involvement.

Peer review

Peer review processes can provide quality assessment for internally and externally conducted evaluations. It may be undertaken by internal or external experts, depending on the profile of the initiative and the complexity and risk of the evaluation. It can be used before finalising key stages of the evaluation, such as the design, data analysis or ex-post CBA benefits framework, and in relation to aspects of the evaluation such as cultural appropriateness.

NSW Treasury's evaluation quality assessment tools provide a structured approach to self-assess evaluations in line with these guidelines. The tools cover process, outcome and ex-post CBA evaluations.

Procurement

If undertaking procurement, comply with NSW Government and your own agency guidelines and policies. Consult the NSW Government Procurement Policy Framework and contact your agency's procurement team for guidance.

For the evaluation brief, include all the information the evaluator(s) will need to effectively design and resource the evaluation, including information on the initiative, context for the evaluation, evaluation requirements, what data is available and what expertise is required.

Workbook V. Evaluation plan: Use the right expertise provides information that may be useful to include when engaging with an external consultant. This may be included in a memorandum of understanding or when completing the Buy NSW Request for Quotation – Part A – specification

template. Consider where the agency should own the intellectual property rights for data collected and models developed.

See Workbook V for detailed guidance regarding:

- designing evaluation to use appropriate expertise
- key criteria to consider in choosing a consultant to conduct an evaluation.

6.6 Evaluation plan: report and use evaluation findings

Key points

- A process for reporting and responding to the evaluation findings should be planned for in advance of the evaluation.
- Evaluation evidence should be used to inform the design and appraisal of future initiatives.
- Lessons learned from evaluation will be of interest to a range of audiences.

Plan to report the evaluation

Plan to report evaluation findings and conclusions, including summary information on the evaluation design and management processes.

Include an assessment of the strengths of the evaluation method(s), and evidence, and of the validity of evaluation conclusions. The report may also include recommendations for further actions.

Consider who the evaluation findings will be reported to and how they will be used. The evaluation is likely to be of interest to a range of stakeholders. Different reports can be developed to suit the information and communication needs of different audiences. Consider differences in language and literacy levels, as well as access to communication channels.

In presenting the evaluation report, the agency may separately provide comment on the evaluation findings and recommendations and publicise the next steps for the agency.

Plan for evaluation to be used in decision-making

A formal process should be established for considering the evaluation findings and developing a response. If early findings can be used to inform initiative improvements, consider sharing these findings in less formal ways.

Develop a plan for responding to the evaluation results and recommendations. Assign an owner for each response and establish mechanisms to track progress against key indicators.

Evaluation also presents the opportunity to improve the assumptions used in the initiative design, logic model and appraisal. Monitoring will provide evidence to update the benefits register and benefits report and, where relevant, inform a lessons learned report.

A discussion of ex-post CBA results, relative to the ex-ante CBA forecasts, should be provided where there are significant differences that warrant investigation. Use learnings to inform the design and appraisal of future initiatives.

Share learnings

Aim to share learnings from evaluation widely – across the agency and portfolio and with other organisations.

A key principle in these guidelines is that evaluation processes should be transparent and findings should be publicly released. Agencies are mandated to proactively and publicly release the findings of evaluations unless there is an overriding public interest against disclosure of the information (see b).

Best practice involves publication on the commissioning agency's website of the full report and methods used. Agencies may also release a plain language executive summary and statement of findings on their website.

To support the use of evidence in ongoing decision-making, build a central repository of learnings and evidence of what works. Sharing findings can:

- enhance accountability and transparency
- improve awareness of the outcomes and benefits delivered by initiatives
- contribute to building an evidence base to inform decision-making
- reduce duplication and overlap of evaluation efforts across NSW Government
- support discussion of standards of evaluation and use of evidence.

Example evaluation report

Table 3 presents an example template for a comprehensive evaluation report.

Not all evaluation reports would necessarily contain each element listed. The focus of the report will be evaluation deliverables (see Table 3 point 5), with content defined by the design of the evaluation and the information produced.

For a complete evaluation report template, see the evaluation resources on the NSW Treasury website.

Table 3. Example evaluation report

1. Executive summary (one to three pages, designed as a standalone summary)
    - Initiative description
    - Evaluation purpose
    - Design and methods
    - Findings and recommendations
2. Background
    - Reason for the initiative
    - Initiative characteristics
    - Initiative logic (theory of change or logic model)

3. Evaluation context
    - Reason for the evaluation (at this point in time)
    - History of evaluation
    - What is already known (data and literature review)
    - Evaluation stakeholders
4. Evaluation purpose and scope
    - Purpose of the evaluation
    - Key evaluation questions
    - Evaluation design and methods
5. Evaluation deliverables
    - Evaluation results (the evidence that the evaluation provides to address the evaluation questions)
    - Evaluation conclusions (for example, assessment of the degree to which the initiative is implemented as intended, appropriate, efficient, effective or providing net benefits and value for money)
    - Assessment of evaluation methods and evidence (the strengths and weakness of evaluation design and methods, and how these have impacted results and the ability of the evaluation to answer the evaluation questions)
    - Recommendations (suggested responses to evaluation findings (if relevant to the evaluation design)

Appendix: Evaluation workplan information

Separate report: Agency response (where appropriate)

Separate report: Business case variation and lessons learned report (where relevant)

Definitions

Term	Definition
activities	The actions and processes of an initiative that transforms inputs into outputs.
appropriateness	In evaluation, appropriateness may relate to the extent to which an initiative addresses an identified need, aligns with government priorities or is suitable for a community or context (including cultural appropriateness and ethical considerations).
attribution	The extent to which a change is caused by, or attributable to, an initiative (relative to other external factors or causes).
benefit	An increase in welfare associated with an initiative's outcomes (including economic, social, environmental or cultural outcomes). Benefits need to be first be understood as changes in condition (that is, outcomes). In CBA, benefits are a measure of the value of the outcomes of an initiative to the NSW community – they may be monetary or non-monetary (methods exist to monetise non-market benefits).
benefits management (BM)	A process of identifying, organising, managing and measuring benefits. It is a continuous process running through the whole life of the initiative. See Benefits Management Guide (TPG24-31). Supersedes the term 'benefit realisation management'.
benefit-cost ratio (BCR)	The ratio of the present value of total benefits to the present value of total costs.
benefits register	A register encompassing all quantitative and qualitative benefits. It is a key component of BRM and can also be called a benefit tracking tool.
comparison group	A group of participants in the study, randomly selected from a sample, who are not exposed to the initiative being evaluated.
control group	A group of participants in the study, selected from a sample using techniques other than randomisation, who are not exposed to the initiative being evaluated.
cost-benefit analysis (CBA)	An evidence-based method for systematically organising and presenting the impacts of initiatives on society's welfare, including economic, social, cultural or environmental impacts. A CBA supports assessment of the net benefits relative to a situation without the proposed initiative, and comparison of net benefits across different initiatives, by estimating costs and benefits in monetary terms. See NSW Government Guide to Cost-Benefit Analysis (TPG23-08).

Term	Definition
CBA ex-ante	A CBA appraisal undertaken prior to the implementation of an initiative, to compare options and to assess the net social benefits of a proposed initiative.
CBA ex-post	A CBA evaluation that is undertaken when an initiative is underway (interim or 'in media res' ex-post CBA) or completed (final ex-post CBA) to assess the net social benefits of an implemented initiative.
cost-consequence analysis (CCA)	A form of economic evaluation where the costs of an initiative are measured and presented alongside multiple outcomes attributed to the initiative. Where accepted in a discipline (for example, in health economics), CCA can contribute to developing evaluation findings. CCA is not a preferred method of economic evaluation in these guidelines because it does not produce a singular cost-to-impact ratio (a cost-effectiveness ratio or a benefit-cost ratio). CCA can provide a foundation for a CBA by capturing a range of outcomes that can be quantified and valued in monetary terms as benefits or described qualitatively.
cost-effectiveness analysis (CEA)	A form of economic evaluation that estimates costs in monetary terms against a single unit of an outcome.
costs	The resources used to implement and deliver the initiative. Include the direct and indirect costs (monetary and non-monetary) of implementing an initiative. In CBA, costs also include decreases in welfare resulting from an initiative's outcomes (including economic, social, cultural or environmental). Under the BRM framework, negative impacts on welfare are also described as dis-benefits.
counterfactual	The 'without' scenario or base case – what would be expected to happen had the initiative not been implemented. Usually the next most likely scenario, such as a 'business as usual' or 'no policy change' scenario or 'next most likely' option to have been implemented.
cultural appropriateness	The extent to which evaluation activities recognise, respect and are sensitive and responsive to the culture and values of the participants and communities in which the initiative operates.
dis-benefit	A decline in welfare resulting from an outcome, perceived as a negative by one or more stakeholders.

Term	Definition
economic evaluation	An evaluation that measures value for money of an initiative. It identifies and measures an initiative's costs relative to its impacts. CBA is NSW Treasury's preferred method of economic evaluation as it supports assessing the net impacts on an initiative on social welfare (relative to a situation without the proposed action) and comparison of net benefits across different initiatives (see cost-benefit analysis). Other forms of economic evaluation may compare an alternative action to achieve the same output (see cost-efficiency analysis) or outcome (see cost-effectiveness analysis).
effectiveness	The extent to which an initiative achieves its objectives (usually related to outcomes).
efficiency	The extent to which an initiative delivers outputs relative to cost. It can also be understood as the extent to which an initiative delivers optimal outcomes relative to cost.
equity goals	Goal(s) to reduce identified disparities between sub-groups within a population. Disparities may be based on characteristics such as disability status, income, geography or region, ethnicity, religion, gender or age.
evaluation	A systematic and transparent process that can be used to assess the appropriateness, efficiency, effectiveness or net social benefits of an initiative.
evaluation design	The overarching design that determines the methods to be used, the data collection required and the level of attribution which can be validly applied to an initiative.
evaluation methods	The tools (such as surveys) and procedures (such as recruitment) used to collect and analyse data.
evaluation plan	A plan that outlines how an evaluation will be designed and implemented.
evidence	Information or a body of facts, quantitative or qualitative, can be used to assess the validity of a proposition or inform a decision. To be considered robust, evidence should be relevant to the context, credible, accurate and complete.
experimental design	Experimental designs or randomised control trials (RCTs) randomly assign participants to either an intervention group, or to a control group (a group not exposed to the initiative) to test for causal attribution of an initiative to outcomes.
Gateway Assurance System	The NSW Government project assurance process that mandates independent peer reviews by experts at defined critical decision points (or gates) in the life of an initiatives (capital, digital and recurrent).

Term	Definition
initiative	Any capital, digital or recurrent, regulatory or policy action undertaken with the aim to achieve outcomes for the NSW community. This can be a program, policy, strategy, service, project or any series of related events.
inputs	The financial, human, material, technological and information resources used to implement and deliver the initiative.
logic model	A diagram that illustrates how an initiative is intended to work, by systematically setting out inputs, activities and outputs, and linking these with impacts (including outcomes and benefits). May also be described as a program logic.
monitoring	A continuous and systematic process of collecting and analysing information about the implementation and impacts of an initiative.
monitoring and evaluation framework	A framework that plans for and guides monitoring and evaluation over the life of an initiative.
net present value (NPV)	The difference between the present value of benefits and present value of costs.
net social benefit	In economic evaluation, net social benefit is the change in welfare that is derived from an initiative. This can be measured as the difference between total benefits and total costs attributable to the initiative (includes social, economic, environmental and cultural impacts). In ex-post CBA, relevant decision criteria used to assess net social benefits are the net present value (NPV) and the benefit-cost ratio (BCR). Where key benefits cannot be quantified, qualitative assessment of likely net social benefits should be reported.
non-experimental design	An evaluation design that does not involve the allocation of an intervention and control or comparison group. These designs are also referred to as descriptive or observational studies.
outcome	Changes that are attributable to the initiative outputs. Changes may be in economic, social, environmental or cultural conditions and occur in the short, medium or long term. They may include changes in lives, status, health, surroundings, knowledge, attitudes, values, behaviours or satisfaction levels.
NSW Outcome indicator	Under the Performance and Wellbeing Framework, an indicator is a measure of effectiveness that can reasonably demonstrate the performance of the government in achieving a NSW Outcome.
outcome evaluation	An evaluation that examines if, to what extent and how an initiative is leading to intended outcomes.

Term	Definition
output	The products, services and infrastructure that result from the initiative activities.
peer review	A process where the quality of the work is evaluated by a reviewer, external to the business area and delivery team, with subject matter expertise.
process evaluation	An evaluation that examines initiative implementation and delivery. Focuses on the inputs, activities and outputs of an initiative.
quasi-experimental design	An evaluation design that does not use randomisation to assign participants to an intervention group or to a comparison group (a group not exposed to the initiative) to test for causal attribution. Also known as non-randomised experimental design.
stakeholders	Members of the NSW community (who lives, works, visits or invests in NSW, including businesses) involved with or impacted by an initiative. This includes people who are intended to benefit from and who otherwise experiences the impacts of the initiative.
value for money	Value for money is achieved when the maximum benefit is obtained from the available resources. Value for money is supported by: • maximising output from the use of available inputs (or minimising inputs for a pre-determined level of output), • effectiveness in achieving the intended outcomes • maximising benefits and achieving a net social benefit (that is, benefits exceed costs).
welfare	Welfare is synonymous with wellbeing of an individual, group, community or the entire society (in this case, the community of NSW). Changes in welfare may be related to social, economic, environmental and cultural outcomes. In a CBA, social welfare refers to the aggregate change in benefits and costs across all NSW residents.

Appendix A: Build evaluation culture and practice

Key points

The practice of evaluation will be supported within an agency by:

- building a culture of evaluation
- integrating monitoring and evaluation into agency practices.

Monitoring and evaluation are most effective when adequately resourced, supported by leaders, and part of a culture of enquiry and learning within the organisation.

To build a **culture of evaluation**, an agency should aim to:

- Be results-oriented.
- Provide a safe environment of learning and growth, with monitoring and evaluation positively recognised as an opportunity to learn, continuously improve and adapt (including a culture of learning from failure and transparency with evaluation findings).
- Ensure understanding and appreciation of roles and responsibilities related to monitoring and evaluation and how this will support decision-making.
- Continuously work with the community to ensure that initiatives are appropriate and relevant to their needs.

To build **evaluation practices**, an agency should aim to:

- Ensure collaboration between initiative designers and evaluators early in its life.
- Integrate monitoring and evaluation into business-as-usual practices.
- Develop data collection systems and facilitate access to data sets.
- Ensure evaluation occurs and findings are communicated before key decisions are made.
- Use findings from monitoring and evaluation to improve design and delivery of initiatives.
- Share learnings across the agency and with other organisations.
- Seek ongoing improvement in the quality of monitoring and evaluation.

Table 4

presents a range of activities to promote monitoring and evaluation and to embed these into business practices.

Table 4. Build evaluation culture and practice - example activities

Cohort	Build a culture of evaluation	Embed monitoring and evaluation
Executive leadership	• Promote the role of evaluation in evidence-based decision-making • Identify an evaluation lead in the executive team • Formalise and promote the use of monitoring and evaluation in key business processes • Support open and accountable monitoring and evaluation • Be supportive of innovation, allow for failure, promote learning and growth • Support staff (and stakeholder) training in monitoring and evaluation	• Identify where evaluation can inform decision-making • Develop a forward evaluation framework, across the activities of a portfolio, aligned to agency and portfolio objectives (including NSW Outcomes) • Build monitoring and evaluation into current initiatives • Formalise monitoring and evaluation planning as part of initiative design and planning • Plan resourcing for monitoring and evaluation • Communicate evaluation findings to executive and ministers • Develop formal responses to evaluation findings • Share evaluation findings within the portfolio • Track, respond and act upon evaluation findings • Publicly release evaluation findings

Cohort	Build a culture of evaluation	Embed monitoring and evaluation
Evaluation experts (including government portfolio evaluation units)	• Communicate resourcing and evaluation reporting requirements to leadership • Promote the importance of evidence and building an evidence base to support decision-making • Maintain communications regarding evaluation with NSW Treasury • Share learnings for evaluation conduct (such as design, procurement, community collaboration) and findings across the portfolio • Establish mechanisms such as communities of practice to share learnings and build capabilities • Provide or facilitate evaluation training and skills development • Provide guidance on ethical conduct	• Assist executive leadership with developing a strategic evaluation framework and plan across the portfolio • Collaborate with initiative managers and teams to establish monitoring and evaluation frameworks for new and ongoing initiatives • Use collaboration to build evaluation capabilities across the portfolio • Provide guidance on procurement, consistent with portfolio procurement processes • Assist with in-house evaluations, including monitoring and evaluation design, and providing independent perspectives in evaluation • Enable flexible evaluation teams – include service delivery teams both to enhance evaluation design and learnings, and to build evaluative capabilities in teams • Provide peer review and quality assurance

Cohort	Build a culture of evaluation	Embed monitoring and evaluation
Initiative manager and service delivery team	• Ensure sufficient time and resources are allowed to conduct evaluation • Understand when to use evaluation tools – consult Evaluation TPG and agency guidelines and seek advice from evaluators • Provide opportunities for teams to share informal evaluative thinking (what is and is not going well, what can be improved) • Engage in evaluation training and skills development • Build ongoing relationships with community stakeholders • Engage early with stakeholders to better understand initiative impacts and best evaluation approaches • Establish mechanisms for ongoing performance feedback • Be open to new learnings	• Build monitoring and evaluation frameworks for new and ongoing initiatives • Bring evaluation expertise into the development of business cases and monitoring and evaluation planning at initiative design and implementation • Establish logic models for new and ongoing initiatives • Identify key evaluation questions for new and ongoing initiatives • Identify data and information available for initiative monitoring and any gaps • Establish additional ongoing data collection, as needed, to measure outcomes and benefits realisation • Align evaluation projects with NSW Outcomes and other performance reporting • Present and communicate evaluation findings 'upwards' and across the agency

Appendix B: Alignment with investment processes

Monitoring and evaluation are one component of a suite of processes that support government decision-making and investment. Align monitoring and evaluation with other business planning and performance reporting processes across the portfolio.

Table 5 lists ...

Table 5: Alignment with NSW guidelines and policies

Guidelines	Process	Monitoring and evaluation
Government Sector Finance Act 2018 No 55	Introduces a single framework for public sector financial management.	These guidelines are aligned with the objects of the Act to: • promote and support sound financial management • efficient and effective government stewardship of government resources and related money • keeping and sharing of performance information in the government sector for the purposes of decisions about resource allocation.
Performance and Wellbeing Framework	Measures and reports on the performance of NSW Government services, and quality of life for the people of NSW.	A Performance and Wellbeing Framework TPG is forthcoming. The intent is for evaluations and performance monitoring to work together. For example, when planning for evaluations, a program logic map should identify an initiative's contribution to achieving NSW Outcomes and ultimately wellbeing impacts.
NSW Government Business Case Guidelines (TPG24-29)	Establishes requirements and guidance to assist with preparing business cases. Business cases provide information Cabinet (or other delegated decision-maker) needs to decide whether to fund a proposal.	A full business case should include a logic model that sets out the outputs, outcomes and benefits, and the causal links and assumptions, that will be tested in evaluation, along with a high-level plan for monitoring and evaluation. Evaluation provides an evidence base for future business cases and CBAs.

Guidelines	Process	Monitoring and evaluation
NSW Government Guide to Better Regulation (TPP19-01)	Requires all new and amending regulatory proposals to demonstrate application of the seven Better Regulation principles, to support fully informed decision-making.	The principles require planning for monitoring of regulation compliance and impacts, and periodic review of regulations to ensure their continued efficiency and effectiveness.
NSW Government Guide to Cost-Benefit Analysis (TPG23-08)	CBA is an appraisal and evaluation technique that sets out the economic, social, cultural and environmental impacts (costs and benefits) of an initiative. CBA is required as part of a business case.	An ex-post CBA compares the actual costs and benefits of an initiative during or following implementation. It is the preferred type of economic evaluation under these guidelines and is recommended for initiatives valued over $50 million.
Benefits Management Guide TPG24-31	Provides guidance on identifying, planning, measuring managing and reporting the intended benefits and disbenefits of an initiative throughout its life.	Benefits management is a form of monitoring that can be used in place of a monitoring and evaluation framework to support monitoring under these guidelines. Findings from benefits management can be used to inform the evaluation of an initiative.
NSW Gateway Policy (TPG22-12)	Establishes a framework for independent, external project assurance through a tiered, risk-based approach. Infrastructure, digital and recurrent proposals have separate frameworks overseen by their respective gateway coordination agency.	Gateway reviews consider and make recommendations on monitoring and evaluation documents and practices as relevant. For example, gate 2 review may consider a benefits register, the logic model and evaluation plan. Where a Gate 6 review is undertaken, depending on its timing, it may review benefits management and/or evaluation practice.
First Nations Investment Framework (TPG 24-28)	Provides targeted guidance on how to partner with First Nations people and communities when developing and evaluating proposals.	Provides complementary guidance on the design, appraisal or evaluation of initiatives that impact First Nations people and communities. Relevant to both First Nations-specific initiatives and general ones that impact First Nations people and communities.

Appendix C: Types of evaluation and example questions

Process evaluation

What is process evaluation?

Process evaluation examines initiative implementation and delivery. It focuses on the inputs, activities and outputs of an initiative. It can be designed to examine the context in which the initiative is operating, identify issues with delivery, review the efficiency of the initiative and provide information for process improvements.

What does process evaluation involve?

A process evaluation will examine whether an initiative is being implemented and intended outputs are being delivered as intended. It is an opportunity to check implementation against the design and logic model of the initiative, and to check outputs against targets and wider standards.

Where implementation issues are identified, further analysis can explore the initiative's current operating conditions and identify any barriers. Where the initiative has not been implemented as designed, the evaluation can be used to improve understanding of how the initiative is working in practice.

A process evaluation will also consider whether the initiative is achieving its intended reach and responding to customer and other stakeholder needs. This can include examining the pattern of uptake or engagement with services, including by different sub-groups or in different contexts, and considering the appropriateness of delivery methods and services.

A process evaluation may also usefully identify the costs of implementation, and how, where and why these have varied from initial projections. Identifying both monetary and non-monetary implementation costs will provide important foundations for economic evaluation.

How can process evaluation be designed?

The design of a process evaluation will depend upon the characteristics of the initiative, the questions that are relevant to ask regarding its implementation (see example questions in Table 6), and the extent to which monitoring information has been collected.

Where monitoring has been established, data from a suite of measures of inputs, activities and outputs can provide information for evaluation. Additional data (such as customer experience and satisfaction information) will be collected as defined by the evaluation questions and design (see Technical notes: Evidence in evaluation).

The process evaluation may incorporate analysis of cost-efficiency, to examine the efficiency with which inputs are used to produce outputs (see Economic evaluation and cost-benefit analysis (CBA)).

Process evaluation can also consider distribution and equity of outputs, as relevant to the initiative and the purpose of the evaluation.

When can process evaluation be undertaken?

Process evaluation can be undertaken at any stage in the implementation of an initiative, where there are questions regarding implementation of the initiative.

When commenced early (for example, within six to 12 months of an initiative commencing), process evaluation can check if the initiative is being implemented as intended and inform changes to design or improvements to delivery.

Process evaluation can support outcome evaluation. When an initiative has not met its intended outcomes, process evaluation can help distinguish implementation issues from questions on the effectiveness of initiative design.

Table 6: Process evaluation – example key evaluation questions

Implementation

- Has the initiative been implemented as designed? Where and why have adjustments been made?
- Has the initiative been implemented within intended timeframes and costs? What adjustments have been made to the schedule or budget?
- Where the initiative is delivered under partnership agreements, have these delivery relationships operated as intended?
- Are there challenges or barriers impacting implementation? How can these be mitigated?
- Have known risks been managed? Have additional risks been identified?
- What is the degree of customer or stakeholder satisfaction with the initiative delivery?

Distribution

- Is the initiative reaching the target populations? To what extent?
- Are service delivery systems reaching marginalised groups? To what extent?
- What is the rate of uptake across target groups?
- Does the reach and uptake differ for different sub-groups or contexts?
- To what extent have the needs of recipients and other key stakeholders been met?

Analysis

- What is known regarding the quantity and quality of outputs?
- How does implementation compare to established standards?
- How do the delivered outputs compare to quantity and quality targets and standards?
- Are there opportunities to improve efficiency in delivery?
- Were contextual factors (political, social, economic, cultural) adequately considered in the design and implementation of the intervention?

Where implementation issues were identified, additional questions may be:

- Does the governance structure effectively support implementation?
- Is delivery aligned with the objectives?
- What were the key factors contributing to timing or cost variance? What is recommended for future timing or costing assumptions?
- When undertaken with outcome evaluation, additional questions may be:
- In what ways has the design supported (or hindered) achieving outcomes?
- Is the design appropriate to achieve outcomes?

See also Table 8: Economic Evaluation - example key evaluation questions

Outcome evaluation

What is outcome evaluation?

Outcome evaluation examines if and how an initiative is leading to intended outcomes. It seeks to quantify the extent of any change and the degree to which the initiative has contributed to them. It can include assessing if the initiative is the best option to achieve desired outcomes.

What does outcome evaluation involve?

An outcome evaluation gathers evidence on the extent of change resulting from an initiative (outcomes) and examines the initiative's role in producing this change (causal attribution).

Outcomes may be realised in the short, medium or longer term. They may relate to status (such as levels of education, health or employment) or conditions (such as environmental). They may include changes in people's knowledge, attitudes, values, behaviours, or satisfaction levels. The outcomes examined may include benefits (increases in social welfare associated with outcomes).

A comprehensive outcome evaluation examines where outcomes have been achieved and by whom. It may investigate when and where the initiative is more effective, how outcomes may be different for different groups, the likelihood of outcomes continuing, and what contexts and factors influence the achievement of outcomes.

The outcome evaluation is also an opportunity to identify any additional positive or negative outcomes and benefits from the initiative that were not foreseen in initiative design or ex-ante appraisal.

Where the initiative directly contributes to achieving a NSW Outcome, the outcome evaluation can be designed to assess its contribution to achieving it. Where the initiative is one of a number of interdependent activities that contribute to achieving a NSW Outcome, the evaluation may focus on the outcomes that are directly attributable to the initiative.

How can outcome evaluation be designed?

There is a range of outcome evaluation research designs that can be used, from experimental to quasi-experimental to non-experimental designs (see example questions in Table 7 *and Technical Notes: Outcome evaluation designs* for further information).

An outcome evaluation needs to be based on strong evidence, including baseline measurements. A robust evaluation will be able to rule out alternative explanations for any changes in outcomes. The strongest methods for examining causal attribution will use a control group (as in randomised experimental design) or a comparison group (as in quasi-experimental design). Experimental and quasi-experimental evaluations need forward planning, and usually ethics approval.

An outcome evaluation that demonstrates the initiative caused the observed outcomes is an important foundation for economic evaluation. It may be useful to consider if the initiative is the most cost-effective method to deliver on outcomes, particularly if this question was not asked in the ex-ante appraisal. Where the benefits associated with outcomes can be valued, CBA can be used to assess net social benefits (see Economic evaluation and cost-benefit analysis (CBA)).

Outcome evaluation can be designed to consider distribution and equity of outcomes and specifically ask to what extent the needs of specified groups have been met.

When can outcome evaluation be undertaken?

Outcome evaluations can be undertaken when an initiative is expected to achieve outcomes. The timing of the evaluation will need to balance the requirements for performance information with the timeframes over which outcomes are expected to be achieved.

Depending upon the characteristics of the initiative, outcome evaluation may be undertaken from one to four years after the initiative is established and stable (with sufficient sample size).

Where intended outcomes are expected to take a long time to be realised, evaluate short-to-medium term outcomes as an indicator of the likelihood achieving the expected final outcomes.

For ongoing initiatives, outcome evaluation can be scheduled at a nominated timeframe, such as every five years.

Table 7: Outcome evaluation – example key evaluation questions

Outcomes realisation
• What are the actual changes (outcomes) delivered by the initiative? • Are intended short-term, medium-term or longer-term outcomes delivered by the initiative? • When are outcomes being realised? • What is the key effect size (scale of change) and range? How has this been identified? • What is the counterfactual (what change in key indicators would have happened in the absence of the initiative)? How has the counterfactual been estimated (is there a control or comparison group)? • Are there any unintended outcomes for participants or stakeholders?

Distribution

- Are outcomes being achieved for targeted groups?
- What is the distribution of outcomes among different groups?
- Does the initiative produce different outcomes in different contexts or stakeholder groups? What situations separate outcomes for groups?
- Who does the initiative work well for? In what circumstances?
- Who has been subject to unintended outcomes?

Analysis

- To what extent can changes be attributed to the initiative (was the initiative the cause of observed outcomes)? What other factors (may have) contributed to the outcomes?
- Under what conditions has the initiative been most effective? What factors support success?
- How does the initiative compare with other activities that produce the same or similar outcomes?
- How has the initiative contributed to the achievement of NSW Outcomes?
- Can a share of observed changes in the relevant NSW Outcomes be reasonably attributed to the initiative?
- Does the initiative contribute to change as expected?

Where the initiative has equity objectives:

- Does the intervention achieve results for stated equity-focused objectives?
- To what extent does the initiative change identified inequities?
- What is the effect on different populations and on the structural drivers of inequity?
- Has there been a change in the factors leading to inequity?
- Are inequities between groups likely to increase, remain stable or decrease after completion of the initiative?

See also Table 8: Economic Evaluation - example key evaluation questions.

Economic evaluation and cost-benefit analysis (CBA)

What is economic evaluation?

Economic evaluation identifies and measures the consequences of an initiative in relation to its costs. It provides an assessment of value for money and supports comparison to an alternative course of action.

Economic evaluation can be undertaken for an initiative's outputs (analysis of cost efficiency), outcomes (analysis of cost effectiveness) or benefits (cost-benefit analysis), as relevant to the stage of initiative implementation.

CBA is NSW Treasury's preferred method for economic evaluation as it presents the full range and depth of the impacts of an initiative. It uniquely allows for net social benefits of initiatives to be assessed and compared across programs and portfolios.

Economic evaluation should be undertaken with reference to the NSW Government Guide to Cost-Benefit Analysis (TPG23-08). See Table 8 *for* examples of evaluation questions for cost-efficiency and cost-effectiveness analysis (CEA) (building upon process evaluation and outcome evaluation respectively) and Table 9 for examples of evaluation questions relevant to ex-post CBA.

Cost-efficiency analysis – analyse outputs delivered against costs

To complement process evaluation, cost-efficiency analysis can be undertaken to examine the level of outputs (goods and services) delivered relative to costs.

The evaluation may examine costs per unit of output, compared to established standards or other activities that produce similar (quality of) outputs. This approach only measures the efficiency of output delivery, not the effectiveness of outputs in achieving outcomes, or the relationship between the quality of outputs and the benefits realised.

The evaluation may identify opportunities to reduce delivery costs.

Cost-effectiveness analysis – analyse outcomes against costs

To complement outcome evaluation, cost-effectiveness analysis (CEA) can be undertaken to examine the level of outcomes delivered relative to costs. It can assess if the initiative is the most cost-effective method to deliver intended outcomes compared to other initiatives producing comparable outcomes. CEA may be relevant when an evaluation is timed to examine short-term or medium-term outcomes, where end outcomes and their benefits are yet to be realised.

The method used to evaluate cost-effectiveness will depend on the type of outcomes, available data and the evidence required for decision-making.

- A CEA can compare costs per unit of outcome between options that deliver the same outcome.
- A cost-utility analysis can be undertaken where a common outcome measure can be used. These approaches can be used to compare different ways to achieve a common outcome, but not to compare options with different outcomes.
- A cost-consequence analysis (CCA) can be used to identify multiple outcomes (this will list a range of outcomes but not produce a cost-outcome ratio) and provide a foundation for CBA.

Table 8: Economic Evaluation - example key evaluation questions

Costs

- What are the initiative's actual implementation costs, including overheads?
- How do actual implementation costs compare with projected or planned costs?
- What are the reasons for deviations between forecast and actual costs?

Process evaluation: analysis of cost-efficiency

- To what extent does the initiative demonstrate cost efficiency?
- How do delivery costs compare with best-practice or other initiatives producing similar (quality of) outputs?

Outcome evaluation: analysis of cost-effectiveness

- To what extent does the initiative demonstrate cost effectiveness?
- How do delivery costs compare with best practice or other initiatives producing comparable outcomes?

Cost-benefit analysis

What is cost-benefit analysis (CBA)?

CBA is a comprehensive examination of an initiative's impacts on welfare (including economic, social, environmental and cultural impacts) and assessment of whether the investment delivered a net social benefit to the people of NSW.

What does ex-post CBA evaluation involve?

Ex-post CBA is used to present all the impacts (positive and negative, intended and unintended, direct and indirect) that result from changes attributable to the initiative (including in social, economic, environmental and cultural conditions) and assess the extent to which an investment provides a net social benefit to the NSW community.

Where an ex-ante CBA supported implementation of the initiative, ex-post CBA can be used to test the accuracy of cost and benefit forecasts presented in the business case, where relevant.

Refer to the ex-post CBA technical note for guidance on undertaking CBA during implementation or after an initiative has been implemented.

How can ex-post CBA be designed?

CBA will identify and seek to quantify the key benefits and costs (including dis-benefits) from an initiative. Benefits are increases in welfare that result from an initiative's outcomes (economic, social, cultural or environmental).

Benefits can be understood qualitatively and quantitively. Some benefits will be readily measured and monetised. Benefits should be described qualitatively where they are challenging to quantify or value. It is best practice to involve stakeholders in processes of identifying and valuing benefits or dis-benefits.

The CBA will consider the marginal change in benefits and costs due to the initiative, compared to a scenario without the initiative (the counterfactual), thereby excluding any change that is due to other factors. An ex-post CBA may:

- Build on evidence from an outcome evaluation, where the attribution of the initiative to change has been identified, to then identify or estimate the benefits associated with outcomes.
- Use outcome and benefits monitoring information, including that collected under a benefits management framework, and account for changes that would likely have occurred in the absence of the initiative. This may be the approach best suited to evaluating investments where establishing outcome evaluation with a control group may not be feasible, ethical or appropriate. For example, a significant infrastructure project or a community-wide intervention.

Estimating the net present value (NPV) and benefit-cost ratio (BCR) of an initiative, as part of ex-post CBA, provides an assessment of the net social benefit and value for money (comparison of benefits against costs) of an initiative, and supports comparison of the value of the investment against alternative investments.

Where it is not feasible to quantify or monetise the relevant key benefits, the likely net benefit to the NSW community can be discussed qualitatively, and CEA used as a secondary option to assess value for money.

Where equity considerations are relevant, the CBA should be designed to consider the distributional impact of an initiative.

When can ex-post CBA be undertaken?

CBA evaluation can be undertaken when an initiative can reasonably be expected to be producing benefits. Benefits may be realised over an extended period, with different benefits realised in different time periods.

Evaluation can be undertaken at key stages of benefits realisation (including at initiative completion and long after the initiative has been implemented) to investigate whether benefits are sustained.

Table 9: Ex-post CBA – example key evaluation questions

Costs
• What are the actual implementation costs, including overheads? What are relevant unit costs? • What are the indirect costs (dis-benefits or reductions in social welfare) associated with the initiative? • Are there any material costs that cannot be quantified? • What are the total costs of the project (including any dis-benefits)? • How do actual costs compare to forecast (ex-ante) costs?

Benefits

- What are the range of benefits attributable to the initiative (including future benefits)?
- Are there any unintended benefits?
- How have benefits been quantified and monetised?
- Where benefits are non-market, how can these be valued?
- Are there any material benefits that cannot be quantified?

Distribution

- What is the distribution of benefits (and costs) among different groups?
- Does the initiative produce different benefits in different contexts or for different groups?
- Who, and in what circumstances, does the initiative work well for?

Assess net benefits

- What is the NPV of the initiative to the NSW community? Where material costs or benefits cannot be valued and what is the likely net benefit for NSW (based on evidence)?
- What is the BCR of the initiative to the NSW community?
- To what extent has the initiative delivered value for money?

Ex-ante review

- How accurate were ex-ante assumptions and quantity forecasts?
- How accurate were the price parameters used for ex-ante valuation?
- Did the ex-post BCR and NPV fit within the calculated error margin of the ex-ante CBA?
- For CBA undertaken during the initiative, do the BCR and NPV forecasts need to be revised?
- How can future costing and benefit forecasts for similar projects be improved?

See also NSW Government Guide to CBA (TPG23-08). Ex-post CBA technical note provides further notes on ex-post CBA to be read in conjunction with TPG23-08.

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